RBI followed the following method since 1979 till implementation of current method.

M_1 (Narrow Money)

M_1 = Currency with the Public + Demand Deposits of banks + Other demand deposits with RBI

M2 (Intermediate money)

$M_2 = M_1$ + Post office Savings Deposits

M_3 (Broad Money)

$M_3 = M_1$ + Time Deposits of the Public with Banks.

M_4

$M_4 = M_3$ + Total Post office deposits.

1 This chapter is based on Report of Working group on 'Money Supply: Analytics and Methodology of Compilation' and an article named New monetary aggregation: An introduction, RBI Bulletin, October 1999.

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2 Methods of second working group are provided in the annexure

3 RIBs - Resurgent India Bonds is a special scheme of SBI to raise funds from abroad.